

company lost \$5 billion, the most money any U.S. company had ever lost in a single year. The next year Lou Gerstner was brought in to turn the company around. In his book *Who Says Elephants Can't Dance?* (HarperCollins, 2002), Gerstner outlined his strategies, including selling low-margin hardware technology assets and moving more into software and services. Later, when Sam Palmisano became CEO in 2002, he sold off the personal computer business and kept IBM growing for the next 10 years by focusing its business on services, the Internet, and software.

“Their financial management was equally brilliant,” Buffett continued. “I can think of no major company that has had better financial management, a skill that has materially increased the gains enjoyed by IBM shareholders. The company has used debt wisely, made value-adding acquisitions almost exclusively for cash and aggressively repurchased its own stock.”⁴⁸

In 1993, IBM had 2.3 billion shares outstanding. Ten years later, when Gerstner retired and Palmisano became CEO, the company had 1.7 billion shares outstanding. Over the 10 years, Gerstner bought back 26 percent of the shares outstanding while raising the dividends by 136 percent. This lesson was not lost on Palmisano. During his 10-year reign as CEO, IBM reduced shares outstanding from 1.7 billion to 1.1 billion, a 36 percent reduction. Combined, Gerstner and Palmisano repurchased over half of the shares outstanding. And if that was not enough, Palmisano, in the decade he ran the company, increased the dividend from \$0.59 to \$3.30, a 460 percent increase.

Of the four technology horsemen—IBM, Microsoft, Intel, and Cisco—only one company has seen its recent share price surpass its 1999 high—the peak of the tech bubble. And that is IBM. At year-end 1999, IBM was selling at \$112 per share and by the end of 2012 it was trading for \$191. Compare this to Cisco (\$54 to \$19), Intel (\$42 to \$20), and Microsoft (\$52 to \$27). It was not that IBM grew the company faster than the others, but rather that its share price went up because it grew the per-share value faster. Between 1999 and 2012, Microsoft reduced shares by 19 percent and Intel and Cisco both reduced shares outstanding by 23 percent, but IBM reduced its shares outstanding by 36 percent.

Remember Buffett's notion: that after he begins buying shares in a company, he likes the stock market to delay its recognition, for that gives